

Maximum drawdown Largest single drop from peak to valley in the value of an asset or portfolio over its entire history.

Mean reversion Prices or returns moving back toward their average over time; regression toward the mean.

Mean-variance optimization (MVO) Quantitative approach aimed at maximizing expected portfolio return at a given level of portfolio risk, or minimizing portfolio risk at a given level of expected return; uses past returns, correlations, and volatility.

Minimum variance portfolio Collection of risky assets optimized to give the least amount of volatility.

Modern portfolio theory (MPT) Theory that attempts to maximize expected portfolio return with respect to portfolio risk; a mathematical approach to optimal investment diversification.

Momentum Persistence in performance; assets that have trended higher or lower in the recent past tend to continue trending in the same direction in the near future.

Moving average Calculation used to create a series of averages from different data subsets then shifting each subset forward over time; commonly used to smooth out short-term fluctuations and identify longer-term trends.

Noise Unpredictable and nonrepeatable patterns representing arbitrariness and uncertainty; noise is in contrast to information and is often mistaken as such.

Nominal return Stated rate of return not adjusted for inflation.

Nonparametric Having no characteristic structure; distributions whose form is unspecified.